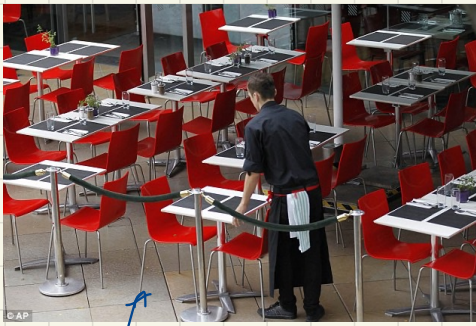


Prevalence of Idle Capacity

Pascal Michailat
<https://pascalmichailat.org/w/>



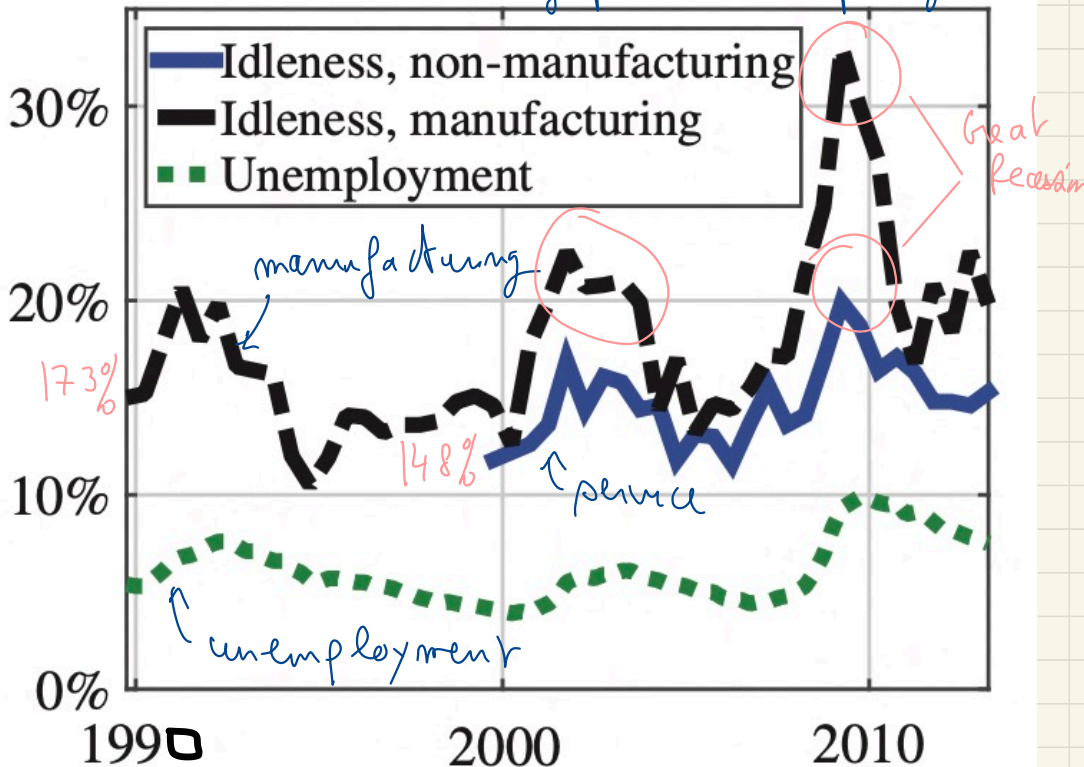
idle restaurant waiter



idle barber

Institute for Supply Management (ISM)

Operating rate $\rightarrow$ Idleness rate = $1 - \text{Operating Rate}$
 $\rightarrow$ share of productive capacity that's idle



A. Selling difficulties in the United States

Source Michallat & Saez (2015)

Capacity utilisation

- Industrial firms
- Capital given, labor can be adjusted

